

Quant Trading Roadmap — Day 2

Theme: Who are you actually trading against?

Yesterday we learned **what moves prices**.

Today we'll answer an even more important question:

When you buy one share, who is on the other side?

Understanding this is what separates a trader from someone who simply buys charts.

Imagine the stock market as a marketplace

Suppose you're buying tomatoes.

There are:

- Farmers
- Wholesalers
- Retail shops
- Restaurants
- Customers

Each has a different reason for buying or selling.

The stock market works exactly the same way.

There isn't one "market."

There are thousands of participants with different objectives.

The 6 major market participants

1. Retail Investors (You)

Characteristics:

- Small capital
- Fast decisions
- Emotional at times
- Flexible

Strengths:

- Can enter or exit positions quickly.

- Can specialize in niches.

Weaknesses:

- Limited information
 - Behavioral biases
 - Often overtrade
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2. Mutual Funds

Their job is not to beat you every day.

Their job is to manage **thousands of crores** responsibly.

If a fund wants to invest ₹500 crore into a company, it can't simply press "Buy."

Large orders move prices.

So they often accumulate positions gradually.

This is why institutional buying can create sustained trends.

3. Foreign Institutional Investors (FIIs)

These are among the biggest players in Indian markets.

They influence:

- Index movements
- Banking stocks
- Large-cap stocks
- Market sentiment

When FIIs consistently buy or sell over weeks, it often affects broader market direction, though it is not the only driver.

4. Domestic Institutional Investors (DIIs)

These include:

- Mutual funds
- Insurance companies
- Pension funds

They sometimes offset FII flows.

One interesting research question we'll eventually explore is whether certain combinations of FII and DII activity are associated with stronger market trends.

5. High-Frequency Trading (HFT) Firms

These firms operate in milliseconds.

Their edge comes from:

- Speed
- Technology
- Infrastructure

This is one reason we are **not** pursuing intraday trading.

Your edge won't come from being faster.

It will come from making better decisions over days and weeks.

6. Long-Term Investors

Examples include:

- Pension funds
- Sovereign wealth funds
- Large value investors

They may hold positions for years.

They often care more about business fundamentals than short-term price movements.

Where is your edge?

Many new traders ask:

"How do I beat institutions?"

The better question is:

"Where do institutions have constraints that I don't?"

Examples:

- A ₹10 crore fund can't easily buy tiny companies.

- Institutions often have mandates restricting what they can own.
- Many must stay invested regardless of market conditions.

You, on the other hand, can:

- Hold cash.
- Focus on a few high-conviction ideas.
- Wait patiently.
- Build specialized quantitative strategies.

Your advantage is **flexibility**, not size.

How this shapes our platform

Our future quant platform won't try to predict every price move.

Instead, it will answer questions like:

Where is institutional money flowing?

Which sectors are strengthening?

Which stocks are showing improving momentum?

Are these moves supported by volume?

How much risk does this trade add to my portfolio?

Notice that every question is measurable.

That's the mindset of a quantitative researcher.

Practical Exercise (≈40 minutes)

Part 1 — Create Your First Market Watchlist (20 minutes)

Create a spreadsheet with these columns:

Symbol Sector Market Cap Why I'm Watching Institutional Interest?

Add at least:

India

- Large-cap: one bank
- Large-cap: one IT company
- Large-cap: one energy company
- Mid-cap: one defence or manufacturing company
- One ETF (such as a Nifty index ETF)

US

- One technology company
- One healthcare company
- One semiconductor company
- One ETF tracking the S&P 500

This watchlist will evolve throughout the course.

Part 2 — Start Your Project Journal (20 minutes)

Inside your repository, create:

docs/

trading_journal.md

Begin with:

Quant Trading Journal

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What surprised me today?

What assumptions did I have that changed?

Ideas worth exploring:

Questions for future research:

This journal is just as important as the code you'll write.

The best quants document their thinking.

Review Question

Suppose a large mutual fund wants to buy ₹300 crore worth of a stock.

Why might it spread those purchases over several days?

- A. Because the fund manager is uncertain.
- B. Because buying everything at once could push the price higher and make the purchase more expensive.
- C. Because regulations require it.

Answer: B.

Large orders can move markets. Executing gradually helps reduce market impact.